

slow to make investment decisions because they aren't entirely comfortable with change—which is consistent with the way they have approached their professional lives—being careful not to take excessive risks.

Many Preservers are focused on taking care of their family members and future generations, especially funding life-enhancing experiences such as education and home buying. Because the focus is on family and security, Preserver biases tend to be emotional rather than cognitive. As age and wealth level increase, this BIT becomes more common. Although not always the case, many Preservers enjoy the wealth management process—they like the idea of being catered to because of their financial status—and thus are generally good clients. Behavioral biases of Preservers tend to be emotional, security-oriented biases such as endowment bias, loss aversion, and status quo. Preservers also exhibit cognitive biases such as anchoring and mental accounting. The following is a description of the biases just discussed (this should be a review for you) and a simple diagnostic for each bias.

Loss Aversion Bias

Bias type: Emotional

Preservers tend to feel the pain of losses more than the pleasure of gains as compared to other client types. As such, these Preservers may hold on to losing investments too long—even when they see no prospect of a turnaround. Loss aversion is a very common bias and is seen by large numbers of financial advisors with this type of client.

Simple diagnostic for loss aversion bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

The pain of financial loss is at least two times stronger than the pleasure of financial gain.

Answering 3 to 5 shows a tendency toward loss aversion bias.

Status Quo Bias

Bias type: Emotional

Preservers often prefer to keep their investments (and other parts of their life for that matter) the same or keep the “status quo.” These investors tell themselves “things have always been this way” and thus feel safe keeping things the same.

Simple diagnostic for status quo bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following: